

RV University

School of Business

Marketing Strategy Report

Amazon Prime+ Ecosystem Analysis



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Acknowledgement

I would like to express my sincere gratitude to my professor, **Prof. SHIKHA KARAMCHANDANI**, for her guidance, encouragement, and valuable insights throughout the completion of this project. Her lectures and academic support helped me understand important marketing concepts such as consumer behaviour, marketing mix, competitive analysis, and segmentation strategies.

I would also like to thank my institution for providing the necessary academic resources and learning environment which made this work possible.

This project helped me gain practical understanding of how marketing frameworks can be applied to real-world services such as Amazon Prime. It allowed me to analyze customer behaviour, competitive positioning, and strategic marketing decisions.

Finally, I would like to acknowledge all sources of information and references that contributed to the successful completion of this assignment.

1. Brainstorming of Product / Service Ideas

- **Amazon Prime** – Premium subscription service
- **Netflix** – Digital streaming service
- **Apple iPhone** – Premium smartphone product
- **Nike Sports Shoes** – Branded footwear product

2. Shortlisting of Idea

I selected Amazon Prime due to its diversified structure combining e-commerce, logistics, and entertainment within a single subscription. The upgraded concept, **Amazon Prime+**, enhances value through intelligent personalization and service assurance.

3. Selected Idea: Amazon Prime+ (Enhanced Model)

Amazon Prime+ builds upon fast delivery, free shipping, Prime Video, and Prime Music. The enhancement introduces a **Smart Choice Guarantee System**-an AI-driven layer that:

- Suggests high-rated, low-return products
- Provides priority customer support
- Offers instant refund processing
- Delivers personalized subscription insights

This shifts Prime from a delivery service to a smart decision-support ecosystem.

4. Problem Identification

Consumers face decision fatigue, delivery uncertainty, multiple subscriptions, and time inefficiency. These factors reduce convenience and increase indirect costs.

5. Need, Want, and Demand Addressed

Need: Convenience, reliability, speed, and simplified digital experiences.

Want: Faster and smarter shopping, trusted recommendations, entertainment bundling, and premium assurance benefits.

Demand: When customers are willing to pay for enhanced efficiency, personalization, and service guarantee, wants transform into demand. Amazon Prime+ fulfills this demand through an intelligent, integrated, value-added subscription ecosystem.



THE 4Ps FRAMEWORK: AMAZON PRIME+

The 4Ps Framework for Amazon Prime+ is as follows.

- Product:** An all-in-one assistant combining your favorite media with a smarter, stress-free way to shop.
- Price:** A single membership that pays for itself through massive bundled value and total peace of mind.
- Place:** A digital store that lives in your pocket, ready anywhere and backed by a global delivery network.
- Promotion:** Friendly, helpful reminders that meet you where you are to make your daily life a little easier.



Marketing Mix	
Product	Core benefit: Convenience and time-saving through a single membership. Key features: Free and fast delivery, Prime Video, Prime Music, Prime Reading, exclusive deals. Variants: Monthly and yearly subscription plans, student plans. Branding: Strong Amazon brand associated with trust and reliability.
Price	Pricing level: Mid to premium. Pricing strategy: Value-based pricing and subscription pricing. Justification: Customers receive multiple services at a lower combined cost compared to buying each service separately.
Place	Distribution channels: Online through Amazon website and mobile application. Geographic focus: Available across India and international markets where Amazon operates.
Promotion	Advertising media: Digital ads, TV commercials, social media platforms. Digital platforms: Amazon app, YouTube, Instagram, email marketing. Sales promotions: Free trial period, festive offers, student discounts. Communication tone: Friendly, convenience-focused, and value-driven.

Market Comparison

Competitive Market Analysis



Understanding the Competitive Field

Amazon Prime doesn't just compete with one type of company; it battles for a share of the customer's time, wallet, and lifestyle across multiple industries.

- **Direct Competitors:** These are the "head-to-head" rivals who offer the exact same services, such as streaming movies or digital music.
- **Indirect Competitors:** These are the "alternative" rivals who offer different services (like food delivery or shopping rewards) that still compete for the same monthly subscription budget.

DIRECT COMPETITORS: THE BATTLE FOR SCREEN TIME

1. Netflix - The Content Specialist

While Prime offers shopping, Netflix focuses entirely on being the best at storytelling. It is the go-to for people who prioritize high-quality original series and movies over shopping perks.

2. Disney+ Hotstar - The Live Experience

This is the major rival for sports fans and families. By bundling live cricket and regional shows, it captures the audience that values "appointment viewing" and live events.

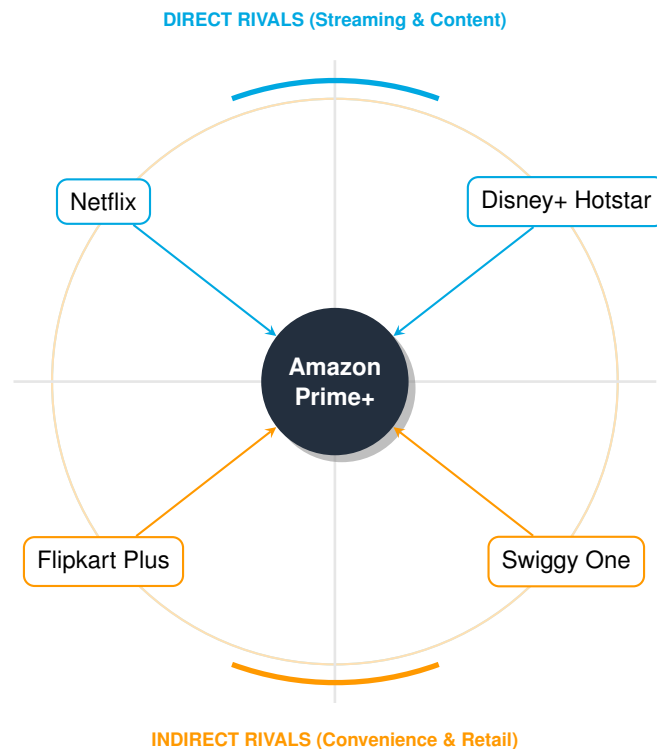
INDIRECT COMPETITORS: THE BATTLE FOR CONVENIENCE

3. Flipkart Plus - The Retail Alternative

Flipkart focuses on the "shopper first." While it doesn't have a massive movie library, its reward-based loyalty program attracts those who just want the best deals and fastest shipping on products.

4. Swiggy One - The Daily Essential

Swiggy competes for "subscription space." A customer might choose food delivery perks over video streaming if their daily priority is saving money on meals and groceries rather than watching a movie.

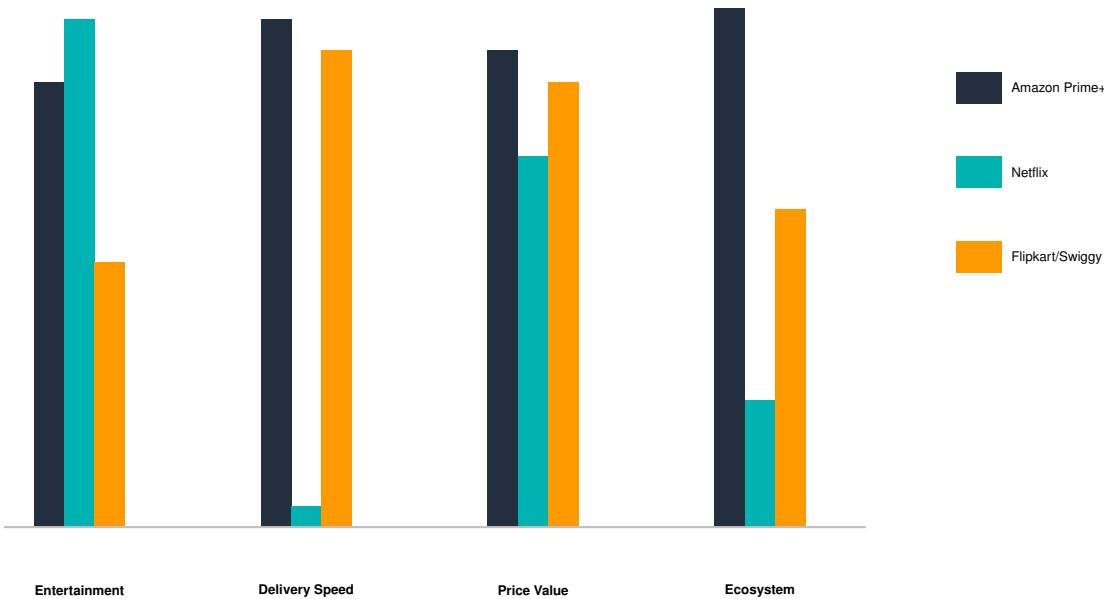


Competitor Analysis

Marketing Intelligence Gathering



Strategic Parameter Comparison



Why Marketing Intelligence?

Marketing Intelligence acts as our strategic radar. It isn't just about data; it is about listening to the market's heartbeat. By gathering these insights, we shift from reacting to the market to actively shaping it, ensuring every update to Prime+ meets a real human need.

The Goal of Competitor Analysis

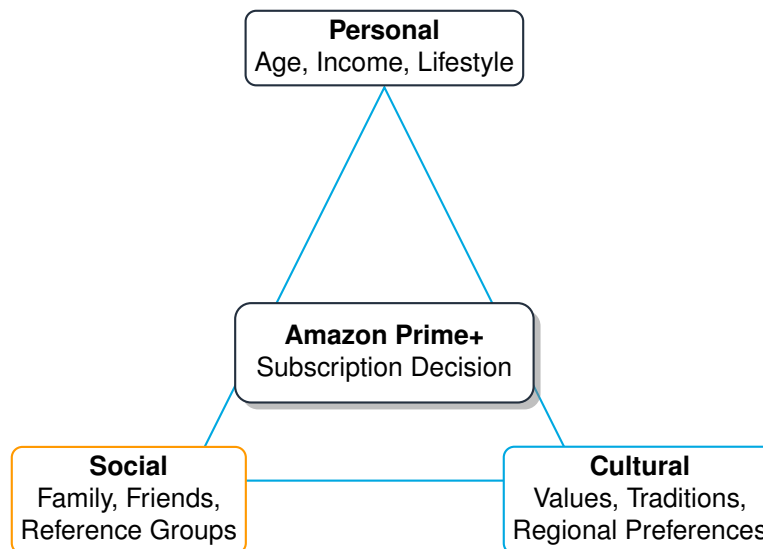
Analyzing our rivals helps us define our own "edge." By understanding where Netflix leads in storytelling or where Swiggy leads in local speed, we can refine our ecosystem. We don't just copy them; we find the "white spaces" they've missed to provide a value they simply can't match.

MARKETING INTELLIGENCE TABLE

Competitor	Products / Services	Distribution Channels	Positioning / Value Proposition
Netflix	Premium movies, global series, documentaries.	Global App, Smart TV, Web interface.	Quality: Focus on ad-free, high-budget original entertainment.
Disney+ Hotstar	Live sports, Disney IP, Regional shows.	Mobile App, Web, TV (Heavy in India).	Entertainment: Built for sports fans and multi-generational families.
Flipkart Plus	Retail loyalty rewards, early sales access.	Integrated Website and Mobile App.	Affordability: High-value rewards for budget-conscious retail shoppers.
Swiggy One	Free food, grocery, and gourmet delivery.	Mobile Application (Hyper-local).	Convenience: Removing friction from daily dining and household chores.

Understanding Consumer Behaviour for Amazon Prime+

Consumer behaviour is influenced by three major factors: **Personal, Social, and Cultural**. For Amazon Prime+, all three factors significantly impact subscription decisions and usage patterns.



1. Personal Factors (High Impact)

Personal factors strongly influence Prime+ adoption.

- **Age:** Young consumers prefer streaming and gaming features.
- **Income:** Middle and upper-income groups are more willing to pay for bundled subscriptions.
- **Lifestyle:** Busy professionals value fast delivery and time-saving services.

Impact on Product: Prime+ personalization algorithms tailor recommendations based on individual viewing habits, shopping history, and lifestyle patterns.

2. Social Factors

- **Family Influence:** Families subscribe for shared benefits like movies and fast delivery.
- **Peer Influence:** Friends recommending shows increases subscription likelihood.
- **Social Status:** Premium subscriptions reflect modern digital lifestyle.

Impact on Product: Multi-user profiles and family sharing plans increase perceived value.

3. Cultural Factors

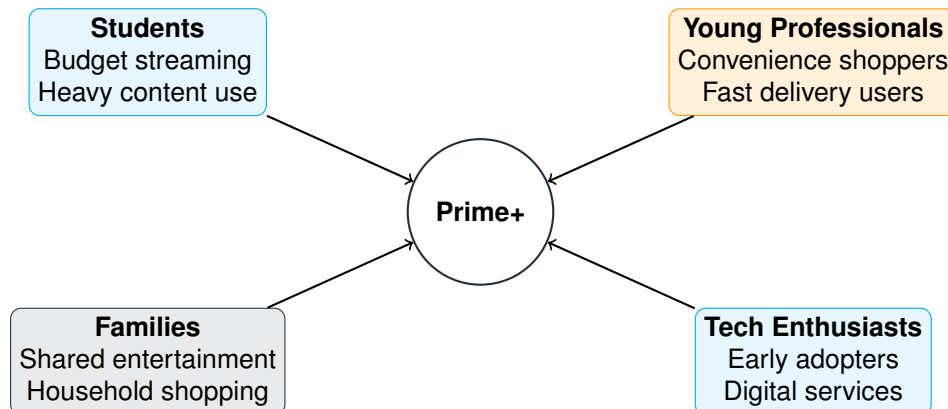
- **Regional Preferences:** Demand for regional movies and language-based content.
- **Festivals:** Increased shopping during Diwali, Prime Day, etc.
- **Cultural Values:** Preference for convenience and digital adoption in urban India.

Impact on Product: Localized content, festive offers, and region-specific marketing campaigns strengthen cultural alignment.

Conclusion: Among the three, **Personal factors have the highest impact** on Amazon Prime+ because subscription decisions are largely based on individual income, lifestyle, and digital consumption habits. However, Social and Cultural influences further enhance usage and long-term retention.

1. Market Segmentation

Amazon Prime+ can serve multiple customer groups based on lifestyle, usage patterns and spending behavior.



2. Customer Personas

Persona 1: The Digital Student

- **Age:** 18–24
- **Occupation:** College Student
- **Income:** Limited disposable income
- **Psychographics:** Entertainment-focused, socially connected, heavy mobile user
- **Buying Behaviour:** Subscribes mainly for movies, series and music
- **Motivation:** Affordable entertainment bundle

Persona 2: The Busy Professional

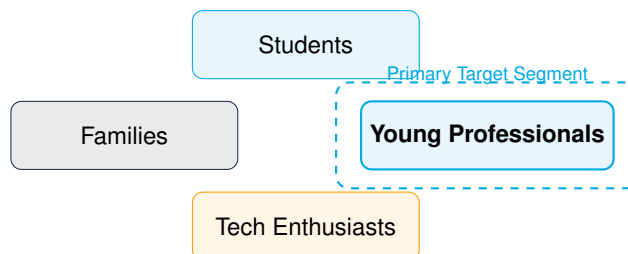
- **Age:** 24–35
- **Occupation:** Corporate professional / entrepreneur
- **Income:** Medium to high
- **Psychographics:** Values time efficiency and convenience
- **Buying Behaviour:** Uses Prime for fast delivery and smart recommendations
- **Motivation:** Saves time and simplifies lifestyle

3. Target Market Selection

Primary Target Segment: Young Professionals

Justification:

- Higher purchasing power and willingness to pay for subscriptions.
- Strong demand for fast delivery, convenience and bundled services.
- High digital adoption and frequent online shopping behaviour.
- Likely to use multiple Prime services (shopping, streaming, music).



Positioning Statement:

Amazon Prime+ is positioned as a **premium convenience ecosystem** that saves time and simplifies everyday life through fast delivery, entertainment and personalized digital services.

Conclusion

The analysis of the proposed **Amazon Prime+** model highlights how integrated digital ecosystems are shaping modern consumer markets. By combining e-commerce, entertainment, logistics, and personalized digital services into a single subscription model, Amazon Prime+ creates a strong value proposition for customers.

Through the marketing framework applied in this report, several key insights emerge. The **4Ps Marketing Mix** demonstrates how the service delivers value through bundled offerings, subscription pricing, strong digital distribution, and consistent promotional strategies. The **competitive analysis** reveals that while companies like Netflix and Disney+ dominate entertainment, Amazon Prime+ differentiates itself through its integrated ecosystem that combines shopping convenience with digital entertainment.

The **consumer behaviour analysis** further shows that personal factors such as lifestyle, income, and digital habits strongly influence subscription adoption. Additionally, social influence and cultural preferences help expand the service's reach among families and younger digital users.

Finally, the **STP strategy** identifies young professionals as the primary target segment due to their purchasing power, digital adoption, and preference for convenience-driven services.

Overall, Amazon Prime+ represents a future-ready subscription ecosystem that delivers convenience, efficiency, and entertainment within a single intelligent platform.

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- Some references are taken from Classroom Material (PPTs) - uploaded in Google Classroom

Thank You

Thank you for reviewing this project report.

Submitted by
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